

The True Value of a College Degree

I firmly believe that getting a college degree gives you an edge in life and in business, but not in the way you might think. Too many people see a degree from a certain school as a magic wand that will pave the way for their future. They see a piece of paper with a prestigious private school's name written on it as a golden ticket to fifty years of success. They think doors will be thrown open and that wealth will come their way if they could only graduate from *that* school. I don't buy that at all. In the real world where I live and work, a private school education gives you the same benefits as a degree from anywhere else.

Georgetown University reports that lifetime earnings for people with a bachelor's degree are 31% greater than those with an associate's degree and 74% greater than those with only a high school diploma.¹⁷ Why is that? Personally, I think that wherever you go to school, a college degree gives you a couple of advantages. First and most importantly, it shows that you have what it takes to work toward and accomplish a long-term goal. That is gold in a culture full of distractions and half-hearted efforts. Second, a college degree gives you opportunities that you may not have otherwise. If you want to work your way up in an established company, you may need a degree to get in the door. However, if you're an entrepreneur and want to build your own business, this is a non-issue.

Like I said before, I'm *planning* on my kids going to college, and we have money set aside for that. However, if they choose not to or if they would rather go to a trade school, I still know they'll build wealth throughout their lives. While a college degree makes someone more *likely* to become a millionaire, it doesn't *guarantee* future wealth. Likewise, not getting a degree doesn't mean someone *can't* become a millionaire. Remember, 9% of millionaires don't have one. The degree simply gives some advantages. That said, I don't believe college alone will give my kids a *financial* advantage. It's not the school's job to teach them how to build